

ESTATE PLANNING & LIVING TRUSTS

What Every Family Needs to Know

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Where today's decisions become tomorrow's legacy.

Quick question.

Who in here lives on their phone?

You have apps for banking. For groceries. For your health.

You get alerts for everything — weather, news, your credit score.

There is no app that sends you an alert when you are about to become incapacitated.

There is no notification that tells you when your family is about to lose control of everything you have built.

The only plan that protects you in that moment has to be built before it happens.

Who This Is Really For

Most people think estate planning is for the wealthy. For the elderly. For someone else.

It is not.

Today is education day — not commitment day.

"I'm here to pass the smell test so you can decide if you want to see me individually."

— Devin Vandivier

18

The age estate planning starts mattering

80%

Of trusts go unfunded — families end up in probate anyway

\$0

The apparent cost of doing nothing — until the bad thing happens

Imagine something bad has happened.

You're incapacitated. You cannot make financial or medical choices for yourself.

- 1 Who is going to make your financial and medical choices now that you can't?
- 2 Who is that person's backup — in case they were in the same accident as you?
- 3 What document did you put that authority in?
- 4 Who else, besides you and your spouse, knows those documents even exist?

For most families — the honest answer is: they do not know. Most of us do not die the first time we try.

The Safety Nets That Do Not Work

People rest on these — and they do not work the way anyone thinks.

"I'm the beneficiary."

Beneficiary designations only activate at death. If your spouse is incapacitated — not deceased — you have no legal access to their retirement accounts. None.

A 32-year-old had a stroke. His wife was his beneficiary. She spent four years in guardianship court just to pay household bills.

"We have rights of survivorship."

Survivorship kicks in at death — not incapacitation. If real estate is in both names and one spouse is incapacitated, selling requires both signatures. The incapacitated spouse cannot sign.

One incapacitated owner + no documents = court order required to move anything.

More Safety Nets That Fail

People rest on these — and they do not work the way anyone thinks.

"I added my kid to the account / title."

Once you add them, they are an owner. Their financial problems become yours — including IRS garnishments.

Tax consequence: adding a child to your home as a gift means they inherit your original cost basis. On a \$600K home you bought for \$200K, capital gains apply to \$400K. Inherited through a trust, the basis steps up to \$600K. Near-zero tax.

"Our documents are already done."

Powers of attorney do not expire by law — but financial institutions treat older documents with increasing skepticism. Many firms will not honor documents that are several years old.

One client's POA was rejected by two firms within 24 hours — document too old. They nearly ended up in guardianship despite having paperwork.

Documents need to be on file proactively, while the account holder can still present them.

Being Married Does Not Mean You Have Access

1

Marriage does NOT give your spouse legal authority if you are incapacitated. No documents means no access.

2

Retirement accounts — IRA, 401k, Roth — are always individual accounts. Even in Texas. Even after 40 years of marriage.

3

Texas community property: even with both names on the deed, selling while one spouse is incapacitated requires a court order — unless the right documents exist.

4

Adult children (18+): parents have zero legal authority over their medical or financial decisions. Every family with a college-age child needs this conversation.

5

No documents means guardianship court: costs range from \$3,000 to over \$10,000 in Texas, with annual court reporting required after appointment.

The permission slips have to exist on paper before the bad time comes.

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When You Have No Documents — This Is What Happens.

GUARDIANSHIP & CONSERVATORSHIP

Guard the person. Conserve the money. Pay an attorney.

\$200-\$400/hr

Attorney hourly rate
(Texas range, documented)

Multiple

Hearings and court
appearances required

\$3,000-\$10,000+

Documented Texas range
for guardianship cases

Every Year

Annual court reporting
required after appointment

"Without succession documents, a court process is what handles everything. The process has nothing to do with how much money you have — it applies to every adult who becomes incapacitated without the right paperwork."

What Happens at Death Without a Trust — Probate

Probate is what happens when an adult passes away with a titled asset in their name and no legal answer to their death — no beneficiary designation, no trust.

6-12+

mo.

Typical Texas probate
timeline (straightforward)

1-2+ yrs

Contested or intestate
cases in Texas

3-7%

Total probate costs as
a share of estate value

Public

All probate filings
are public record

A will is a ticket to probate. A trust is the way around it.

- Life insurance — bypasses probate as long as a valid beneficiary is named
- Checking accounts — most people are never asked about adding a payable-on-death beneficiary
- Cars, homes, bank accounts — individually titled with no beneficiary designation go through probate

Option 1 for Real Estate: Transfer on Death Deed (TODD)

A statutory Texas tool that transfers real estate at death without probate. (Texas Estates Code, Chapter 114)

What It Does

- Names a beneficiary on the deed — property transfers at death, probate avoided
- Owner keeps full control while alive — can sell, change, or revoke anytime
- Beneficiaries receive a step-up in cost basis (reduces capital gains on sale after inheriting)
- Statutory: Texas Estates Code Chapter 114 — specific legal framework exists

Its Limits

- Does NOT protect during incapacitation — only a trust covers that
- Multiple beneficiaries: one can block a sale if they disagree
- Cannot transfer out-of-state real estate
- Must be signed, notarized, and recorded before death to be valid
- Two-year window after death where estate creditors can still file claims (Tex. Est. Code Sec. 114.106)

A TODD avoids probate on one Texas property. A trust avoids probate on everything — and covers incapacitation too.

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Option 2 for Real Estate: Lady Bird Deed (Enhanced Life Estate)

A Lady Bird Deed is a Texas common-law estate planning deed that transfers real estate at death — while the owner retains full control for life. Not a statutory instrument, but recognized in Texas title practice for decades and supported by case law.

Lady Bird Deed — What It Does

- Avoids probate on Texas real estate
- Owner keeps full lifetime control — can sell, mortgage, or revoke without beneficiary consent
- Beneficiaries receive step-up in cost basis at death (reduces capital gains)
- Homestead exemptions stay in place
- Medicaid Estate Recovery (MERP) protection recognized in Texas — home passes outside the probate estate
- Can be signed by agent under a Power of Attorney (TODD cannot)

How It Differs from TODD

- TODD is statutory (Texas Estates Code Ch. 114); Lady Bird Deed is common law — no specific statute
- TODD has explicit statutory Medicaid protection; Lady Bird relies on longstanding administrative policy in Texas — both are used for Medicaid planning
- Some attorneys view TODD as slightly more predictable for that reason; others prefer Lady Bird for the creditor window advantage
- TODD cannot be signed by a POA agent; Lady Bird can
- TODD has a 2-year estate creditor window; Lady Bird does not
- Both get step-up in basis; both avoid probate

What Neither One Covers

- Incapacitation — no deed of any kind gives successor authority while you are alive. Only a trust does.
- Out-of-state real estate — Texas deeds cover only Texas property
- Non-real-estate assets (bank accounts, vehicles, personal property)
- Complex family situations — blended families, minor children, staggered distributions
- Setting terms for when or how heirs can access the inheritance

Lady Bird Deed, TODD, and Trust all avoid probate on real estate. Only a trust covers incapacitation and all asset types. The right tool depends on your situation — that is what the consultation is for.

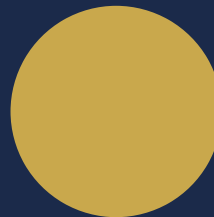
Now — the solution.

The Revocable Living Trust

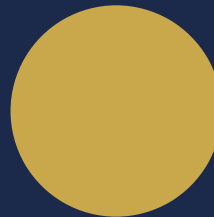
Think of it like a store.

- > You are the Manager (Trustee) — you are in charge.
- > You put your assets on the shelves: your home, accounts, vehicles.
- > You name a backup management team (Successor Trustees).
- > If you are ever out of pocket — incapacitated or gone — the store keeps running. No courthouse required.

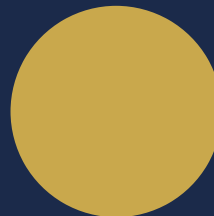
"The trust does not die. Your successors step in and the store stays open."



While You're Alive
Full control. Nothing
changes.



If You're Incapacitated
Successor steps in
immediately.



When You Pass
Assets transfer. No court
needed.

"Do I Lose Control of My Stuff?"

NO.

You are the Trustee — you manage everything exactly the same as before.

You can still buy, sell, refinance — nothing changes in your day-to-day life.

The trust uses your Social Security number while you are alive.

It is revocable — you can change it or dissolve it anytime.

The trust is just the container. You are still the one running the show.

Note: A revocable trust does not protect assets from creditors while you are alive. Because you retain full control, creditors can still reach those assets. Protection from creditors requires a different kind of trust — an irrevocable trust — which is a separate conversation.

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Who's Who Inside Your Trust

Trustor / Grantor

That is you — the person creating the trust. Your instructions, your terms.

Successor Trustee

The person YOU handpick to step in — if you are incapacitated or when you pass. No court involved.

Trustee

Also you — while you are alive and capable. You stay in charge of everything.

Beneficiaries

Who receives the assets — family, friends, a church, a nonprofit. Completely your call, your timeline.

Co-Trustees

You and your spouse — both creating and controlling together, side by side.

Why It Matters

Every role is decided by you — in advance, in writing, notarized. Not by a judge who never met your family.

Funding Your Trust — Do Not Skip This Step

Studies show 80% of people who paid for a trust never funded it — and their families ended up in probate anyway.

What goes IN the trust:

Your home and other Texas real estate (deed transfer, recorded with county clerk)

Checking and savings accounts

Paid-off vehicles

Non-retirement investment accounts

Business entities — LLCs, corporations

What stays OUTSIDE:

IRAs, 401ks, Roth accounts — retitling triggers taxes. Name the trust as beneficiary instead.

Minor children cannot inherit directly — the trust becomes the receiving bucket for life insurance or retirement funds on their behalf.

The document did not fail. The shelves were just empty. Funding is what makes a trust work.

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Do Not Add Your Kids to the Title

A well-meaning decision can cost your family tens of thousands of dollars.

If You Add Them to the Title (Gift)

- Child inherits your original cost basis
- Capital gains apply to the full appreciation when they sell
- Example: Home bought for \$200K, now worth \$600K
- Added as a gift = \$400K potentially taxable gain
- Actual tax depends on their income bracket and how long they hold it
- Their creditor or IRS problems can reach the property

If They Inherit Through a Trust (or TODD / Lady Bird)

- Child receives a step-up in cost basis to fair market value at your date of death
- If they sell near that value, capital gains are generally near zero
- Same example: \$600K home, basis steps up to \$600K. Minimal tax.
- Applies to trust inheritance, TODD, and Lady Bird Deed
- No shared creditor exposure — clean transfer
- "Inherited, not gifted" is the legal difference

Will vs. Living Trust — Side by Side

	Will	Living Trust
Avoids probate	No	Yes
Public record	Yes — anyone can see	No — completely private
Time to settle	Months to years (varies widely)	Typically weeks to a few months
Cost to family	Total probate costs: 3-7% of estate	One-time flat fee
Multi-state property	Multiple probates required	One document covers all states
Incapacitation coverage	None	Full coverage
Control distributions	Limited — court can interpret	Full — your rules, your timeline
Contest difficulty	Relatively low barrier	Must sue every beneficiary

Successor Education — The Step Most Firms Skip

Signing the documents is step one. Making sure your successor knows how to use them is step two.

They said yes when you asked.

Then you put the documents in a drawer. That conversation ended. They assume your death is 30 years away.

Then something happens.

An accident. A stroke. They get the call. And they have no idea what they are supposed to do next.

What we do instead.

We bring your successors in for a session — about an hour — and walk them through the toolkit step by step.

Every adult in that Successor Education session walks out realizing they need their own documents.

That is your referral engine.

Answers to the Questions Everyone Has

"I already have a will."

A will still goes through probate and provides zero protection if you are incapacitated. Bring it in — we will tell you exactly where you stand.

"Trusts are for rich people."

A young family with two kids and a term life policy needs a trust more than a wealthy retired couple. It is not about how much you have — it is about making sure it reaches the right people without court involvement.

"My spouse will handle everything."

Marriage does not give your spouse legal access to your retirement accounts or your medical decisions. The permission slips have to exist on paper before the bad time comes.

"I will do it later."

Our youngest client was 18. Incapacity does not schedule appointments. The best time was before anything happened. The next best time is now.

"This sounds expensive."

Total probate costs run 3-7% of your estate. Guardianship runs \$3,000-\$10,000+ with annual reporting. Our flat fee is a fraction of either. Most families walk out asking: Is that really for everything?

Today was education day.

Not commitment day.

How many estates have any of you settled?

Most people do not have any practice — and neither does the family member you named as your successor.

That is why I am inviting not only you but your successor to a complimentary consultation. No cost. No obligation. We keep talking.

If we find areas that need to be shored up — I will tell you how much it costs. Then you tell me whether you want my team to do the work. That is it.

"You are not trading any money with me today. We are just going to be talking." The only goal today: schedule the consultation.

**Fill out the
evaluation sheet
before you leave.**

Two questions:

1. Want to talk more?
2. Contact info.

It's always about control.

Do not leave your family guessing.

A revocable living trust may not be perfect — but there is no other plan that gives you this much control over what happens to your family and your assets.

Control while you are alive. Control if something goes wrong. Control over who gets what when you are gone.

That is what this is about.